

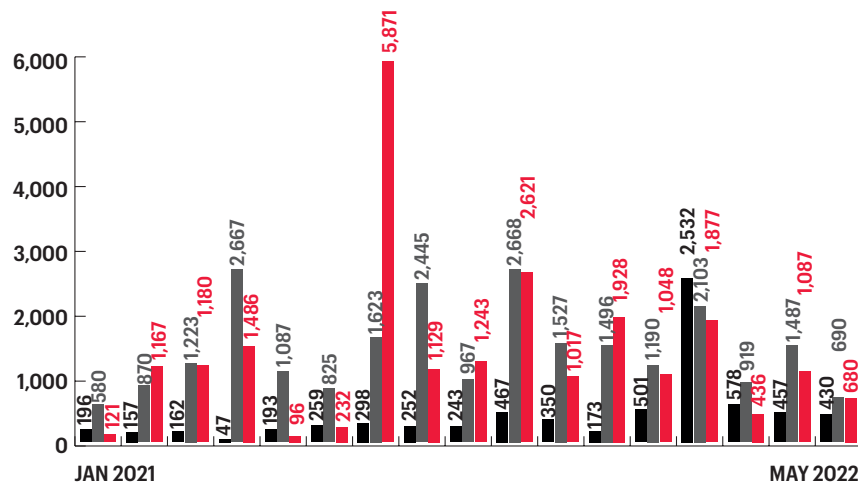
LATE-STAGE DEALS SLOW

Late-stage deal values declined 37.5 per cent to \$5 billion in the first five months of 2022 compared to \$8 billion during Aug-Dec 2021

■ EARLY STAGE
■ GROWTH STAGE
■ LATE STAGE

DEAL VALUE (\$ MILLION)

SOURCE PGA LABS



IRRESPECTIVE OF how long this cycle lasts, what is clear is that the world is entering a 'high interest rate, low growth' era, the impact of which is expected to set in by end-2022. The new environment calls for a fundamental re-adjustment for both investors and founders. This will be painful for those who haven't seen cycles. For context, SoftBank's Masayoshi Son briefly became the world's richest man in 2000 after making hundreds of investments, only to lose 93 per cent of the company's market value when the dot-com bubble burst. "A lot of India-specific fund managers and founders have not seen cycles of true-blood recession. So, the re-rating of growth expectations will be painful for many," says a global late-stage investor.

Also, what's playing out is partly the private market's reaction to a public market slowdown. The macroeconomic headwinds have been inflicting severe damage to tech stocks across the globe. Indian tech stocks Zomato, PolicyBazaar, Nykaa and Paytm continue to fall

in the public market. This relentless global trend makes it difficult for VCs to raise capital from LPs (limited partners). It could also force growth firms to invest money in safer stocks in the public market. If interest rates remain high for a longer period, global investors may choose to rebalance their portfolios, which can impact allocations for India.

In its letter to portfolio firms, Y Combinator summed up how this is contributing to the overall start-up funding environment. "Understand that the poor public market performance of tech companies significantly impacts VC investing. VCs will have a much harder time raising money and their LPs will expect more investment discipline. As a result, during economic downturns, even the top-tier VC funds with a lot of money slow down their deployment of capital (lesser funds often stop investing or die). This causes less competition between funds for deals, which results in lower valuations, lower round sizes, and far fewer deals completed."



“ In March-April 2020, the ecosystem dialled down cash burn, cut people where required [and] took tough decisions in the middle of a pandemic... Why would entrepreneurs not be able to cope now? ”

PARAG DHOL GENERAL PARTNER, ATHERA VENTURE PARTNERS